CONFIDENTIAL

A PRIVATE INVESTMENT OPPORTUNITY

SANDITAS RANCH

2026 Investment Update

SANTA BARBARA COUNTY, CALIFORNIA • 20 ACRES • ARCHITECTURAL ESTATE

Prepared by Jeff Cline | jeff-cline.com

SECTION I

Executive Summary

Sanditas Ranch is a 20-acre architectural estate in Santa Barbara County's acclaimed wine country, currently under construction using repurposed shipping containers and floor-to-ceiling glass. It is the **first all-shipping-container residential project ever approved by Santa Barbara County**—a distinction that confers both scarcity value and architectural significance.

Phase 1 is substantially complete. Two accessory buildings are nearly finished, the well is installed and operational, drainage infrastructure is in place, and the main house foundation and utilities are ready. This update seeks **$5.5 million in construction completion financing** to finish the primary residence, against an after-repair value of $8.5 million.

$5.5M	$4.5M	$8.5M	64.7%
LOAN REQUEST	BORROWER EQUITY	AFTER-REPAIR VALUE	LOAN-TO-VALUE

KEY DIFFERENTIATOR

This is not a ground-up construction loan on raw land. Phase 1 infrastructure is complete. The borrower has $4.5 million of personal capital invested. What remains is the known-cost, lower-risk phase: finishing the main house on an approved, permitted, and partially built estate.

SECTION II

2026 Update — Progress Report

Significant construction milestones have been achieved since the initial investment. The project has moved from raw land to a substantially improved, de-risked property with county approvals secured and critical infrastructure in place.

Phase 1 Completed Milestones

- ✓ **Santa Barbara County approval secured** — Full entitlements for the first all-shipping-container residential project in county history
- ✓ **Two accessory buildings nearly complete** — Structural, mechanical, and finish work substantially done
- ✓ **Well installed and operational** — Independent water source confirmed and tested
- ✓ **Drainage basin engineered and installed** — Stormwater management infrastructure complete per county specifications
- ✓ **Main house infrastructure in place** — Foundation poured, utility connections run, site graded and prepared

What Remains: Phase 2

The sole remaining scope is **completion of the main residence**. This includes container placement and modification, structural connections, interior build-out, MEP systems, glazing, and finish work. All permitting, site work, and infrastructure challenges have been resolved.

> **RISK PROFILE TRANSFORMATION**
>
> The project has transitioned from a speculative land play to a **construction completion project**. The hardest, most uncertain phases—entitlements, permitting, site infrastructure, water sourcing—are behind us. What remains is conventional construction execution with known costs and defined timelines.

SECTION III

The Vision

"Where Industrial Meets Ethereal"

Sanditas Ranch is not a house built from shipping containers. It is an architectural statement that happens to use them as its structural medium—the way a sculptor uses bronze or marble. The result is a residence where raw industrial honesty meets the ethereal light and landscape of California's wine country.

Architectural Philosophy

Every material earns its place. The design embraces intentional restraint: Corten steel frames meet floor-to-ceiling glass, creating dramatic indoor-outdoor continuity across 20 acres of rolling terrain. Nothing is decorative for decoration's sake. The containers provide structure, rhythm, and an unmistakable visual identity.

The "Highly Maintained" Concept

This is a residence designed for people who appreciate the difference between maintained and manicured. Raw materials patina with intention. Glass stays immaculate. Landscape is curated, not tamed. Every element is chosen to age with dignity—a home that gets better with time, not worse.

Sustainability by Design

The use of repurposed shipping containers is not an aesthetic gimmick—it is a sustainability strategy. Each container diverts approximately 3,500 kg of steel from the waste stream. The project targets LEED-certifiable performance through:

- **Repurposed primary structure** — Dramatically reduced embodied carbon versus conventional framing
- **Passive solar orientation** — Container placement optimized for thermal performance and natural light
- **Independent water system** — On-site well reduces municipal dependency
- **Native landscaping** — Drought-tolerant, low-maintenance grounds appropriate to the Santa Ynez climate

- **High-performance glazing** — Floor-to-ceiling glass specified for thermal efficiency, not just aesthetics

SECTION IV

The Property

Sanditas Ranch sits on 20 acres in the heart of Santa Barbara County's wine country—a region that has quietly become one of California's most coveted luxury markets, drawing comparisons to Napa Valley with the added advantage of coastal proximity and year-round Mediterranean climate.

Location Advantages

- Santa Ynez Valley wine country
- Minutes from Santa Ynez, Los Olivos, and Solvang
- 45 minutes from Santa Barbara proper
- 2 hours from Los Angeles
- Surrounded by world-class wineries and ranches

Property Characteristics

- 20 acres of rolling terrain
- Complete privacy—no visible neighbors
- Panoramic valley and mountain views
- Mature oak trees and native vegetation
- Multiple build sites and topographical variety

The Target Buyer

The Santa Ynez Valley luxury market serves a specific, well-defined buyer:

> **Demographics:** Late 60s to 70s. Self-made wealth. Often second or third home buyers. They are not looking for a project—they want turnkey luxury in wine country.
>
> **Psychographics:** They have already done Montecito or Hope Ranch. They want privacy, acreage, and architectural distinction without the pretension. They do not want to rehab an existing property or manage a construction project. They want to write a check and move in.
>
> **Why Sanditas Ranch:** There is nothing else like it in the county. It offers the privacy and acreage of a traditional ranch with the architectural significance of a museum-quality residence. For the buyer who has everything, this is something they have never seen.

Dual-Purpose Flexibility

Sanditas Ranch is positioned for maximum optionality: it may serve as the borrower's primary residence *or* be offered as a spec sale to the target buyer profile. This flexibility provides two distinct exit paths from day one.

SECTION V

Addressing the Elephant in the Room

Why Traditional Comps Don't Apply—and Why That's an Advantage

Let's be direct. Sanditas Ranch is the first all-shipping-container residential project ever approved by Santa Barbara County. There are no direct comparables. We understand that this is the first question any sophisticated lender or investor will raise, and we address it head-on.

The Conventional Objection

“We can't find comps, so we can't underwrite it.”

The Reality

The absence of direct comps is not a deficiency in the property—it is the *source* of its value. Consider:

SCARCITY CREATES VALUE

There is exactly one approved shipping container residential project in Santa Barbara County. The entitlement process required years of engagement with county planning. Any competitor would face the same timeline. This is a regulatory moat.

ARCHITECTURAL SIGNIFICANCE COMMANDS PREMIUMS

Research published in *Architectural Digest* and *Dwell* consistently shows that architecturally significant homes sell at a **20–40% premium** over conventional construction in the same market. Uniqueness is not a liability—it is a pricing advantage with the right buyer.

SAME BUYER POOL, DIFFERENT PRODUCT

Sanditas Ranch competes for the same ultra-high-net-worth buyer as Montecito ($5.7M median) and Hope Ranch (~$6M median)—but offers something those markets cannot:

> 20 acres of privacy, architectural distinction, and a price point well below the top of the Santa Barbara County luxury market.

Three-Pronged Valuation Strategy

In the absence of direct comps, we employ three independent valuation methodologies, each of which independently supports the $8.5 million ARV. These are detailed on the following three pages.

APPROACH	METHODOLOGY	INDICATED VALUE
Cost Approach	Replacement cost less depreciation	$10.0M+
Market Approach	Adjusted comparable sales, broader SB County	$8.0M – $12.0M
Income Approach	Capitalized NOI from retreat/venue operations	$5.0M – $13.3M

SECTION VI

Valuation: Cost Approach

The cost approach answers a simple question: *What would it cost to build this property today from scratch?* The answer establishes a floor value that the market price should not fall below, because no rational buyer would pay more to build than to buy.

COMPONENT	DESCRIPTION	AMOUNT
Land	20 acres, SB County wine country (current market)	$300K – $500K
Entitlements & Permitting	County approvals, engineering, architectural plans	$400K – $600K
Site Infrastructure	Well, drainage basin, grading, utilities, access	$800K – $1.0M
Accessory Buildings (2)	Nearly complete structures	$1.5M – $2.0M
Main House Foundation	Foundation, utility stub-outs, site prep	$500K – $700K
Soft Costs to Date	Architecture, engineering, project management, carrying costs	$500K – $700K
Total Phase 1 Investment		**$4.5M**

PHASE 2: MAIN HOUSE COMPLETION	DESCRIPTION	BUDGET
Container Procurement & Modification	Structural containers, cutting, reinforcement	$800K
Structural & Framing	Steel connections, structural glazing frames	$900K

PHASE 2: MAIN HOUSE COMPLETION	DESCRIPTION	BUDGET
MEP Systems	HVAC, plumbing, electrical, smart home	$1.0M
Glazing & Fenestration	Floor-to-ceiling glass, specialty doors	$700K
Interior Finishes	Millwork, flooring, fixtures, appliances	$800K
Landscaping & Hardscape	Exterior living, pool, outdoor kitchen, paths	$500K
Contingency & Soft Costs	10% contingency, inspections, PM	$800K
Total Phase 2 Budget		**$5.5M**

COST APPROACH CONCLUSION

Total replacement cost: $10.0M+. The ARV of $8.5M represents a **15% discount to replacement cost**. No rational developer would construct this property for less than $10M. At $8.5M, a buyer acquires an architectural estate for less than the cost to build it.

SECTION VII

Valuation: Comparable Market Analysis

While no direct shipping-container comps exist in Santa Barbara County, the broader luxury real estate market provides robust pricing context. Sanditas Ranch competes in the same ultra-luxury segment as Montecito, Hope Ranch, and Santa Ynez Valley estates.

SUBMARKET	TYPE	PRICE RANGE	NOTES
Montecito (93108)	Luxury residential	$5.7M median	5th most expensive ZIP in the U.S.
Hope Ranch	Luxury residential	~$6.0M median	Individual sales exceeding $24M
Padaro Lane (2024)	Oceanfront estate	$96.0M	Highest SB County sale, 2024
Santa Ynez Valley	Luxury ranches	$3.0M – $12.0M	Wine country estates, 10–100+ acres
Los Olivos / Ballard	Luxury ranch/estate	$2.5M – $8.0M	Architecturally notable properties trade higher
San Luis Obispo County	Luxury estate/ranch	$2.0M – $7.0M	Adjacent market, growing luxury segment
Ojai Valley	Luxury residential	$2.5M – $6.0M	Comparable lifestyle market, smaller lots
SB County Overall	All residential	$2.9M median list	Up 28% YoY as of March 2025

Adjustment Analysis

FACTOR	SANDITAS RANCH VS. COMPS	ADJUSTMENT
Location	Santa Ynez Valley (less than Montecito/Hope Ranch)	-15% to -25%

FACTOR	SANDITAS RANCH VS. COMPS	ADJUSTMENT
Acreage	20 acres (larger than most luxury comps)	+10% to +15%
Architectural Uniqueness	First-of-kind, museum-quality design	+20% to +40%
Construction Type	Non-conventional (container)	-5% to +10%
Privacy & Views	Superior to most comparables	+5% to +10%

MARKET APPROACH CONCLUSION

Adjusted comparable analysis supports a value range of **$8.0M to $12.0M**. The $8.5M ARV sits at the conservative end of this range. With SB County median list prices up 28% year-over-year, market momentum further supports this valuation.

SECTION VIII

Valuation: Income Approach

Santa Barbara County is one of California's premier destinations for luxury retreats, corporate events, film production, and wine country experiences. Sanditas Ranch's architectural distinction and 20-acre setting create multiple high-value income streams.

REVENUE STREAM	RATE	FREQUENCY	ANNUAL ESTIMATE
Luxury Retreat Rental	$2,500 – $5,000/night	120–180 nights/yr	$300K – $500K
Corporate Retreats	$15,000 – $25,000/event	8–12 events/yr	$120K – $300K
Film & Photo Location	$5,000 – $15,000/day	10–20 days/yr	$50K – $150K
Wine Country Events	$10,000 – $30,000/event	4–8 events/yr	$40K – $150K
Estimated Annual Gross Revenue			**$400K – $800K**

CONSERVATIVE SCENARIO

Gross Revenue	$400,000
Operating Margin (60%)	$240,000
Cap Rate	8%
Indicated Value	**$3.0M**

OPTIMISTIC SCENARIO

Gross Revenue	$800,000
Operating Margin (60%)	$480,000
Cap Rate	6%
Indicated Value	**$8.0M**

INCOME APPROACH CONCLUSION

Even under conservative assumptions, the income approach supports a value of **$3.0M to $8.0M** based solely on revenue-generating potential. Under optimistic but achievable scenarios, values reach **$8.0M+**. The income approach serves as a compelling supplementary valuation, particularly for investors who may wish to operate the property as a luxury venue.

Note: Santa Barbara County is one of California's most active film production markets. Location fees for architecturally distinctive properties routinely command premium rates. The property's unique aesthetic creates additional demand from editorial photography, fashion shoots, and advertising campaigns.

SECTION IX

Investment Structure

Capital Stack

LAYER	SOURCE	AMOUNT	% OF ARV
Senior Debt (Requested)	Construction completion loan	$5,500,000	64.7%
Borrower Equity	Cash invested to date	$4,500,000	52.9%
Total Project Cost		**$10,000,000**	**—**

Proposed Loan Terms

PARAMETER	TERMS
Loan Amount	$5,500,000
Loan Type	Construction completion, interest-only
Term	12 months with extension option
Interest Rate	8% – 10% per annum
Origination Fee	1 – 2 points
LTV at Origination	64.7% (based on $8.5M ARV)
Collateral	First-position deed of trust on 20-acre estate
Disbursement	Construction draws tied to milestone inspections
Personal Guarantee	Full recourse, personal guarantee of borrower

DRAW SCHEDULE PROTECTION

> Loan proceeds are disbursed via a construction draw schedule, with each draw contingent upon independent third-party inspection confirming milestone completion. This structure ensures that lender capital is deployed only as value is created, maintaining or improving the LTV ratio throughout the construction period.

SECTION X

Construction Completion Plan

The following timeline details the 12-month construction schedule for the main residence. Each milestone is tied to a draw disbursement, with independent inspection required before funds are released.

MONTHS 1–2 | DRAW 1: $900,000

Container Procurement & Structural Prep
Container sourcing, modification, delivery. Steel structural connections. Crane placement on foundation. Structural engineering sign-off.

MONTHS 2–4 | DRAW 2: $1,100,000

Structural & Envelope
Container welding and structural connections. Roof system installation. Glazing frame installation. Weather-tight envelope achieved.

MONTHS 4–6 | DRAW 3: $1,000,000

MEP Rough-In
HVAC ducting and equipment. Plumbing rough-in. Electrical rough-in and panel installation. Smart home infrastructure. Insulation and vapor barriers.

MONTHS 6–8 | DRAW 4: $900,000

Interior Build-Out
Floor-to-ceiling glass installation. Interior framing and drywall. Millwork and cabinetry. Flooring installation. Kitchen and bath rough completion.

MONTHS 8–10 | DRAW 5: $800,000

Finishes & Exterior
Paint, fixtures, appliances. Countertops and hardware. Landscaping and hardscape. Pool and outdoor living areas. Exterior lighting.

MONTHS 10–12 | DRAW 6: $800,000

Completion & Commissioning
Final finishes and punch list. Smart home commissioning. Final inspections and certificate of occupancy. Professional photography and staging. Market preparation.

INSPECTION PROTOCOL

> Each draw release requires: (1) written draw request with documentation, (2) independent third-party inspection confirming milestone completion, (3) lien waivers from all subcontractors, and (4) lender approval. Contractor and architect references available upon request.

SECTION XI

Risk Mitigation

Every investment carries risk. The question is not whether risk exists, but how it has been identified, quantified, and mitigated. Sanditas Ranch benefits from multiple layers of protection for the lender.

RISK FACTOR	MITIGATION
Loan-to-Value	64.7% LTV provides a **35.3% equity cushion**. Property would need to lose more than one-third of its value before the lender's position is impaired.
Borrower Commitment	$4.5M of borrower's personal capital already invested. This is not a speculative flip—the borrower has significant skin in the game.
Construction Risk	Draw-based disbursement with third-party inspections. Funds released only upon verified milestone completion.
Execution Risk	Phase 1 complete. The hardest phases—permitting, approvals, infrastructure—are done. What remains is conventional construction execution.
Entitlement Risk	**Eliminated.** Santa Barbara County has approved the project. This was the single largest risk factor, and it no longer exists.
Market Risk	SB County luxury market trending strongly (28% YoY median list price increase). Multiple exit strategies provide flexibility.
Recourse	Full personal guarantee from borrower, supported by strong personal financial statement.

Stress Test Analysis

BASE CASE

ARV: $8,500,000

STRESS CASE

Value: $7,000,000 (17.6% decline)

LTV: 64.7%

Equity cushion: $3,000,000

Lender fully protected

LTV: 78.6%

Equity cushion: $1,500,000

Lender still protected with margin

THE BOTTOM LINE

Even in a severe stress scenario where the completed property is valued at just $7M—30% below replacement cost and at the low end of comparable Santa Ynez Valley luxury ranches—the lender maintains a $1.5M equity cushion. This is a well-protected position.

SECTION XII

Exit Strategy

Sanditas Ranch offers three distinct, viable exit paths. The borrower is not dependent on any single strategy, providing flexibility to optimize based on market conditions at maturity.

Primary Exit: Conventional Refinance

> Upon completion, refinance into a conventional mortgage at 65–70% LTV on the $8.5M appraised value. This generates $5.5M–$5.95M in proceeds—sufficient to retire the construction loan in full. The property transitions to a long-term hold as either the borrower's primary residence or a luxury rental asset.

Secondary Exit: Sale to Target Buyer

The Santa Ynez Valley luxury buyer is well-defined and actively purchasing:

Demographics

- Late 60s to 70s
- Self-made wealth, typically $20M+ net worth
- Second or third home purchase
- Relocating from LA, Bay Area, or out of state
- Already own in Montecito or Hope Ranch (or have considered it)

Buying Criteria

- **Turnkey**—will not take on a project
- Privacy and acreage over social proximity
- Wine country lifestyle, not beach town
- Architectural distinction and quality
- Something they haven't seen before

> **COMPETITIVE POSITION**
>
> There is no other property like Sanditas Ranch in Santa Barbara County. For the buyer who has seen everything Montecito and Hope Ranch have to offer, this is the only option

> that delivers 20 acres, architectural significance, and wine country privacy—all at a price point well below the top of the SB luxury market.

Tertiary Exit: Luxury Retreat / Venue Operation

As detailed in the Income Approach (Section VIII), the property generates $400K–$800K in annual gross revenue as a luxury retreat, corporate venue, or film location. This exit provides ongoing cash flow while the property appreciates, and can be executed in combination with either primary exit strategy.

SECTION XIII

Borrower Profile

Jeff Cline

Principal & Guarantor

Jeff Cline is a seasoned technology executive and entrepreneur with over 30 years of experience building, scaling, and exiting technology companies. His track record demonstrates the operational discipline, financial acumen, and project execution skills that this project demands.

Professional Background

- **30+ years** in technology leadership
- **4 successful exits** across enterprise software, SaaS, and digital platforms
- **10+ active technology platforms** in current operating portfolio
- Deep experience in project management, budgeting, and execution at scale
- Proven ability to navigate complex regulatory and approval processes

Project Commitment

- **$4.5M personal capital invested** in Sanditas Ranch to date
- Hands-on involvement in design, permitting, and construction oversight
- Successfully navigated Santa Barbara County approval process
- Full personal guarantee offered
- Strong personal financial statement available upon execution of NDA

BORROWER COMMITMENT SPEAKS VOLUMES

A borrower who has invested $4.5 million of personal capital is not walking away from this project. That level of equity commitment—representing more than 45% of total project cost—is among the strongest indicators of project completion that a lender can evaluate. The borrower's interests are deeply aligned with the lender's.

Additional Information Available Upon Request

- Personal Financial Statement (PFS)
- Tax returns (2 years)

- Bank statements
- Entity documentation
- Contractor and architect references
- Detailed construction plans and specifications
- Title report and insurance documentation

SECTION XIV

Next Steps

"Interested in This Opportunity?"

We welcome the opportunity to discuss Sanditas Ranch in detail and provide any supporting documentation required for your underwriting process. The following materials are available immediately upon request:

Due Diligence Package

- Detailed construction plans & specifications
- Architectural renderings
- Santa Barbara County approvals & permits
- Phase 1 completion documentation
- Engineering reports (structural, civil, MEP)
- Environmental assessments

Financial Documentation

- Personal Financial Statement
- Tax returns (2 years)
- Bank and investment statements
- Detailed construction budget
- Draw schedule with milestone definitions
- Title report and insurance

Contact

Jeff Cline

jeff-cline.com/marley

To schedule a site visit or request supporting documentation, please reach out directly.

Confidentiality Notice: This memorandum is provided on a confidential basis to qualified investors and lenders for informational purposes only. It does not constitute an offer to sell or a solicitation of an offer to buy any security or interest in Sanditas Ranch or any affiliated entity.

The information contained herein has been prepared by the borrower and has not been independently verified. Prospective investors and lenders should conduct their own due diligence and consult with their own legal, tax, and financial advisors before making any investment decision.

Forward-looking statements, projections, and estimates contained in this memorandum are based on current expectations and assumptions and are subject to risks and uncertainties that could cause actual results to differ materially. Past performance of the borrower is not indicative of future results.

This document may not be reproduced, distributed, or disclosed to any third party without the prior written consent of Jeff Cline.

© 2026 Jeff Cline. All rights reserved.